

Requirement Specification Document

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P11J-COM-SRS-013 Definition of Target and Tracking of Actuals

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1 Objective and Scope

The scope of this document is to detail out the requirements of target definition and tracking of actuals for the performance of the company, intermediaries and performance of the user.

It also includes the provision for definition of TAT for the different user roles and measuring the actual time taken by the users.

2 References

PREMIA11 is taken up as reference application for features and improvements and suggestions are brought in the new approach.

3 Definitions used in this template

LOB – Line of Business

KPI – Key Performance Indicators

4 Product/component Functions in ranked order

Base Document Ref ID	Requirement Specification ID	Requirement Description
	P11J-COM-SRS-013-001	Definition of Target and Tracking of Actuals
	P11J-COM-SRS-013-001-001	Target Definition for a Company
	P11J-COM-SRS-013-001-002	Tracking of actuals for company target definition
	P11J-COM-SRS-013-001-003	Target definition for a User
	P11J-COM-SRS-013-001-004	Tracking of actuals for user target definition

5 Overall Product Functional Flow

Every company defines their target at the beginning of the financial year and breaks it up into individual targets for the sales force (marketing team). Once the target is defined for the marketing staff, their business performance is tracked on periodical basis, say, daily or fortnightly or monthly or other defined period, to check if the individual sales person and/or the team is on track to achieve their targets. If the trend is negative, reasons for the deficit can be checked and remedial action taken to achieve the target defined. Tracking of actual against the target defined by an Insurance company is used to determine how efficiently the entire company, branch, department, line of business, sales force, user group, individual user, etc is achieving the goals set for a specific period.

6 Functionality in Detail

With the provision for Definition of target not only for the company or region, but also for the marketing staff and the revenue centers (LOB/product, etc) and tracking of actual business done against the target defined, it should be possible to set specific targets that can be achieved by a business unit or an individual with realistic deadline.

6.1 Requirement Specification ID: P11J-COM-SRS-013-001

Definition of Target and tracking of actuals

6.1.1 Context and origin of the functionality

This document will detail out the requirement for target definition and tracking of actuals.

6.1.2 Current Functionality and the Gap

- a. Target definition currently available in the system is designed on hierarchy of predefined parameters. This should be made configurable.
- b. Currently there is no provision available in the system to track the actuals based on target definition and the same is required.

6.1.3 Functionality Process Flow

6.1.3.1 Inputs

- a. Targets that are to be set for the business units/user should be fixed based on historical data or through any other applicable ways.

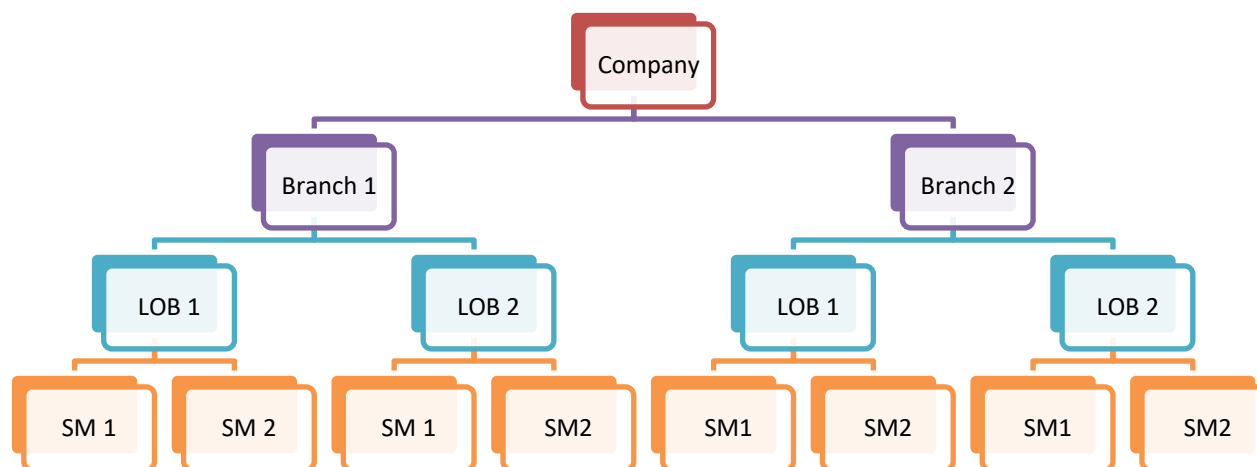
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6.1.3.2 Process

Requirement ID	P11J-COM-SRS-013-001-001
Title / Name	Target Definition for a Company
Actors	Authorized Admin user
Objective	To be able to set targets for a company.
Pre-requisite	1. Target for the company at various levels to be fixed.
Trigger	To determine how efficiently the entire company, branch, department, line of business, sales force performs and achieve the targets.
Business Rules	1. It should be possible to define the hierarchy in which the target is to be defined. The hierarchy to always start with Company
Flow of Events / Scenarios	- Provisions is required for defining the company's business target in terms of Sum Insured or premium, and break it into targets for each cost centers such as departments, branches up to individual salesman in a sales team. - This definition may be based on decentralized hierarchy or a centralized one across all regions and branches. Eg., The target for the company may be broken up into targets for the LOBs and then to the branches with the targets set for each LOB and finally for the sales team in the branch. - The hierarchy of defining the targets should be made configurable as per Insurer's requirements. For example, the targets can be first broken down to LOB and then broken down to branches and then individual salesman or the targets can be first broken down to branches and then broken down to LOBs and then to departments under each LOB. - The parameters that are currently identified for setting the hierarchy under the company are as listed below: It should be possible to add any such parameters if required by the Insurer through configuration. - For the branch, - For the Department, - For the LOB, - For the Product, - For the Sales force employed by the Insurer (i.e, Agents or Salesman working under the insurer)

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- f. For the Direct business
- g. For the Intermediary business
- h. For New business
- i. For Renewal business
- 5. A sample hierarchy for setting target is displayed below for understanding purpose



LOB – Line of Business

SM- Sales Man

In view of usability, it should be possible to drag and drop the different details in the hierarchy and it should automatically form a tree structure based on which target can be defined.

- 6. As per the hierarchy set, the company's business target will be defined for a specific time period. The time period options that can be provided in the system can be as listed below:
 - a. Financial year

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- b. Calendar year,
- c. Half yearly, (Can be provided separately for financial year and calendar year)
- d. Quarterly, (Can be provided separately for financial year and calendar year)
- e. Monthly
- 7. Once the company's business target is set for a specific period, it will be broken down and allocated to the first level as per hierarchy defined. Provision is required for auto populating all the applicable first level parameter after setting the company's business target. The first level parameter can be a branch or LOB, etc.,
- 8. Based on the populated first level parameter, the total target would be divided equally and shared between them automatically by the system. System should be able to automatically calculate the allocation % and the target amount for each of the first level parameter. The % applicable is calculated as $100/\text{no. of first level parameter applicable}$. For example, if the first level parameter is set as branch and if there are five branches applicable, then % would be calculated as $(100/5) = 20\%$.

For example:

	Target %	Amount
Total Target for Company	100	100,000
No. of Branches	5	
Target% for each LOB	20	20,000

Branches	Target %	Target Amt
BO. 1	25	25,000
BO. 2	15	15,000
BO. 3	30	30,000
BO. 4	15	15,000
BO. 5	15	15,000
Total	100	100,000

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9. This calculated % should be modifiable for any or all first level parameters. For example, if modified for one or more branch, the balance % would be equally distributed among the other branches that were not modified.

If BO. 1 target is overridden as 25 %, and BO.3 is target is overridden as 30%, the remaining branches % and target amount would be recalculated automatically as mentioned below:

Branches	Target %	Target Amt
BO. 1	25	25,000
BO. 2	20	20,000
BO. 3	30	20,000
BO. 4	20	20,000
BO. 5	20	20,000
Total	100	100,000

10. It should be ensured that the total allocation % is always equal to 100% and that the company's target amount is equally distributed across all the first level parameters, or as per the overridden %.
11. The target defined at the first level of hierarchy should then be broken down into targets for the second level.
12. Provision is required for auto-populating all the applicable second level parameters and the target allocation % should be defaulted and open for any modification in a similar manner as explained above in the examples.

An extension of the previous example is mentioned below:

Branches	Target %	Target Amt
BO. 1	25	25,000

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LOB's	Target %	Target Amt
Motor	20	5,000
Fire	20	5,000
Marine	30	5,000
Travel	20	5,000
Aviation	20	5,000
Total	100	25,000

13. The target defined at the second level of hierarchy should then be broken down into targets for the third level, from the third level to the fourth level and so on if applicable. At each level, System should auto-populate and default the target allocation with provision for modification (even as 0, but negative % or amount is not to be allowed).

14. System should have a provision to approve this target master definition. The approval can only be done by an authorized user.

15. Provision is required for making any amendments to the approved target master definition to make any corrections or new additions. Only an authorized user should be allowed to make any changes and the target definition should be approved after making the changes in order to be effective.

16. Once approved, the target definition should be displayed in a summary form and it should be possible to click on any level to check the calculation details.

17. If a new addition is done at any level of the parameter after approval (i.e. a new branch is added, a new LOB is added), amendment can be done and the required new addition can be manually included. Based on the addition done, provision is required to reset the targets at applicable hierarchy levels and then the target definition can be approved.

18. Apart from system automatically calculating and splitting the target % and amount, provision should also be available to manually enter/update the target % at each level of hierarchy based on which the target amounts can be calculated. Insurer can opt for any one of the method for defining the targets.

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	19. Apart from setting the business targets in terms of premium, option should be available in the system to set targets module wise if required by the Insurer. This should be considered for design. In UW module, targets can be set in terms of premium and customer retention %, New/Renewal premium, Inward coinsurance premium. In Claims module, targets can be set in terms of salvage and recoveries for a specific time period. It can also be in terms of - a)claims ratio % LOB wise, - b)Total Amount spend for Towing, Garage, - c)Average cost per claim, d) Rejection ratios based on numbers and amounts after claim investigation, Total amount saved after investigation In Reinsurance, it can be the Inward FAC premium, Inward treaty premium. Provision to be available to define the required factor for setting the target provided the details are available in the system.
Post Conditions	Target definition for the company is done and the target is broken down to various hierarchy levels.
Remarks	

Requirement ID	P11J-COM-SRS-013-001-002
Title / Name	Tracking of actuals for company target definition
Actors	Authorized Admin user
Objective	To be able track the actuals with the target that was set.
Pre-requisite	1. Target definition for the company is to be set at various levels of hierarchy and approved.
Trigger	To rate the performance of various business units based on the target set.
Business Rules	
Flow of Events / Scenarios	1. Provision is required where the user can add more parameters for tracking. Below are the list of tracking items currently required for the base version.

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2. It should be possible for the system to track the performance of the units applicable in the hierarchy defined for target definition through dashboard cards, pictorial representations such as pie charts, graphs and reports/grid view.
3. Only authorized users should be allowed by the system to track and view the actuals of various business units.
4. This could also be required as an online update for the authorized user. This in effect means that in case of a salesman, every policy premium sourced by him would add to the actual premium amount once the policy is approved. This would in turn display the percentage achieved as and when a policy is procured by him.

Example:

Performance tracking - SM00001989

LOB	Target	Actual	% of budget premium
Motor	500,000	232,000	46.40
Fire	800,000	429,000	53.63

When a motor policy with premium of 40,000 sourced by this salesman is issued, the actual would be updated as follows:

Performance tracking - SM00001989

LOB	Target	Actual	% of budget premium
Motor	500,000	272,000	54.40
Fire	800,000	429,000	53.63

5. The dashboard cards or reports should project the actual performance of the various levels of hierarchy against their respective target set.
6. From this, the Insurer can rate the respective performance of the individual units.
7. Based on this rating, Insurer can provide performance incentives to the units that are performing exceedingly well and even revise the target mid-term, if necessary, and take corrective actions for the units that are not able to perform well and achieve the target set.

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	8. The targets for the subsequent period can be increased or reduced based on the performance of the units. Admin User should be notified on cases where the agent / branch etc has not been able to meet at least X% of their last year target, then the user may choose to revise the target. In this case the difference should also be distributed to other branches / users or for users within the same branch. 9. Option is required in the system to compare the targets achieved for a different period. For example, current year and previous year or current month and previous month, current quarter and previous quarter or current year and previous two years, etc.
Post Conditions	Tracking of actual performance is done for various hierarchy levels against the target set and subsequent actions were taken.
Remarks	It should be possible to also calculate the net profit of each unit in the hierarchy and indicate as part of performance tracking. This can be done by comparing the revenue generated by the quarter with the cost of the unit.

Requirement ID	P11J-COM-SRS-013-001-003
Title / Name	Target definition for a User
Actors	Authorized Admin user
Objective	To be able to set targets for a user.
Pre-requisite	Target for the user working under various hierarchy level to be fixed.
Trigger	To determine how efficiently the user performs the tasks allocated.
Business Rules	1.
Flow of Events / Scenarios	1. Provision is required for defining targets for the user at all levels in the hierarchy. 2. The targets for the individual user or user groups can be fixed by the Insurance Company as per any standards or based on the KPI's of users. 3. The targets for the user can vary based on the individual expertise and role. 4. The set of target definitions that can be done generally for users belonging to various departments are illustrated below. It should be possible to add any other departments and to define targets for them as per Insurer's requirement. <u>Underwriting Department</u> 1. For an Underwriter, the provision for setting below targets can be provided in the base product.

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	a. Time taken for underwriting a quote or policy. Option should be available to set this based on the complexity of the product/LOB underwritten. b. Number of Policies underwritten per specific time period – This denotes the policies that are underwritten by a user but pending for approval from supervisor c. Number of Policies processed and approved per specific time period.- This denotes the number of policies underwritten by a user that were followed up and approved. d. Number of Proposals/Quotes issued per specific time period. e. Number of Quotes converted to Policies f. Number of Endorsements/Amendment quotes converted. g. Volume of Premium Underwritten for a time period, h. Number of renewal policies approved/issued. i. Number of policies with Errors in Underwriting j. Number of Policies Cancelled <u>Claims Department</u> 1. For a claims department user, the provision for setting below targets can be provided in the base product. a. Time taken for processing and closing of a claim for settlement/recovery. b. Number of claims processed for a time period. Option should be available to set this per claim/product/LOB based on complexity involved c. Number of Claims processed with errors. <u>Sales Department</u> 1. For a sales department user, the provision for setting below targets can be provided in the base product. a. Number of new prospects contacted for a time period. b. Conversion ratio of prospect into a customer for a time period. c. Volume of sales done for a time period. d. Number of Up selling/ cross selling done for a time period e. Policy Renewal ratio for a period of time. f. New Business Premium <u>Customer Service Department</u> 1. For a customer service department user, the provision for setting below targets can be provided in the base product.
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	- Calls handled for a time period. - E-Mails handled for a time period. - How many prospects have been converted to customers in a month/quarter - Web Utilization Likewise, provision to be available to define the required TAT for all users based on their role. It should also be possible to amend the TATs from an effective date for a user or user group or activity. Once amended, it should be possible to view the history of the changes done. During amendment of TAT definition, if any transactions relevant to that is under process, the new TAT would be applicable, if not approved till the TAT amendment is approved
Post Conditions	Target definition is done for the users belonging to different departments based on their expertise.
Remarks	

Requirement ID	P11J-COM-SRS-013-001-004
Title / Name	Tracking of actuals for user target definition
Actors	Authorized Admin user
Objective	To be able track the actuals with the target that was set.
Pre-requisite	1. Target definition for the user is to be set and approved.
Trigger	To rate the performance of users based on the target set.
Business Rules	
Flow of Events / Scenarios	- It should be possible for the system to track the performance of various levels of hierarchy set in target definition through dashboard cards, pictorial representations such as pie charts, graphs. - Only authorized users should be allowed by the system to view the actuals of various users/users reporting to them.

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	3. The dashboard cards should project the actual performance of the user as against the target defined. 4. From this, the supervisor user can rate the respective performance of the individual user. It is also possible for the respective users to review their own performance and improve on that. 5. Based on this rating, Insurer can provide performance incentives to the users who are performing exceedingly well and take corrective actions for the users who are not able to perform well and achieve the target set. 6. The targets for the subsequent period can be increased or reduced based on the performance of the user. 7. Option is required in the system to compare the targets achieved for a different period. For example, current year and previous year or current month and previous month
Post Conditions	Tracking of actual performance is done for various users against the target set and subsequent actions were taken.
Remarks	

6.1.3.3 Outputs

Target definition is done for the company, user is done and the actual are tracked for further actions.

6.1.4 **Example**

As mentioned in the respective requirements.

6.1.5 **Related Prototype(s) / Layouts**

NA

6.1.6 **Constraints/Limitations/Remarks**

As mentioned in the respective requirements.

7 **Facts and Assumptions**

NA

8 Customer Environment

As it is for new JAVA Roadmap, this is not applicable.

9 Performance Requirements

NA

10 Security related information

The general security details applicable for P11J as such are to be applicable for this requirement also

11 Constraints

NA

12 Impact on Financials

NA.

13 Output Required:

13.1 Reports

Performance report for the company

13.2 Queries

NA

14 Other requirements

15 For Internal Reference

Requirements source checklist:

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Source of Requirement	Y/N	Remarks
P11 Base functionality included	Y	Geetha, Sharan
Inputs from Delivery team (Africa and Middle East)	Y	Kovalan, Satish M, Andrew
Inputs from South Asia and APAC teams	Y	Lins, Sajjan
Inputs from MMI (referring to the lists provided by MMI team)	Y	Padmanabhan
Inputs from Support team	Y	Gopi